Microeconomics Questions & Answers Compilation

Part 1: Market Surplus and Shortage

1. A market will experience ---------- in a situation where quantity supplied exceeds quantity demanded and a ---------- in a situation where quantity demanded exceeds quantity supplied.

(a) Shortage; shortage

(b) Surplus; surplus

(c) Shortage; surplus

(d) Surplus; shortage

Answer: (d) Surplus; shortage

2. The price of a good will tend to rise when

(a) A temporary shortage at the current price occurs (assuming no price controls are imposed)

(b) A temporary surplus at the current price occurs (assuming no price controls are imposed)

(c) demand decreases

(d) supply increases

Answer: (a) A temporary shortage at the current price occurs (assuming no price controls are imposed)

3. Which of the following is true?

(a) The intersection of the supply and demand curves shows the equilibrium price and quantity in a market.

(b) A surplus is a situation where quantity supplied exceeds quantity demanded

(c) A shortage is a situation where quantity demanded exceeds quantity supplied.

(d) Shortages and surpluses set in motion actions by many buyers and sellers that will move the market toward the equilibrium price and quantity unless otherwise prevented.

(e) All of the above are true.

Answer: (e) All of the above are true.

Part 2: Market Shocks and Equilibrium

1. What occurs when a shock disrupts the existing market equilibrium?

a) The supply curve shifts to the right.

b) The equilibrium remains unchanged.

c) The demand curve shifts, leading to a new equilibrium.

d) The price of all goods decreases.

Answer: (c) The demand curve shifts, leading to a new equilibrium.

2. A positive demand shock typically results in which of the following outcomes?

a) An increase in the quantity of goods consumed at a lower price.

b) A decrease in consumer preferences for certain goods.

c) An increase in the quantity of goods consumed at a higher price.

d) A surplus of goods in the market.

Answer: (c) An increase in the quantity of goods consumed at a higher price.

3. Which of the following best describes a negative supply shock?

a) An unexpected event that decreases production costs, leading to an increase in supply.

b) An event that increases the quantity supplied and decreases prices.

c) A situation where production is disrupted, causing a decrease in supply and an increase in prices.

d) A consistent rise in supply due to technological advancements.

Answer: (c) A situation where production is disrupted, causing a decrease in supply and an increase in prices.

4. If consumer income suddenly decreases, which of the following is the likely effect on the demand curve?

a) The demand curve shifts outward, indicating increased demand.

b) The demand curve remains unchanged as income is held constant.

c) The demand curve shifts inward, indicating decreased demand.

d) The supply curve shifts to the right, resulting in lower prices.

Answer: (c) The demand curve shifts inward, indicating decreased demand.

5. When technological advancements improve production efficiency, what is the expected impact on supply?

a) The supply curve shifts left, leading to higher prices.

b) The quantity supplied decreases, causing a surplus.

c) The supply curve shifts right, leading to lower prices.

d) The equilibrium price remains constant.

Answer: (c) The supply curve shifts right, leading to lower prices.

Part 3: Government Policies and Interventions

1. Which of the following is a policy that governments use to shift supply curves?

   (a) Taxation

   (b) Consumer preference changes

   (c) Population growth

   (d) Increase in disposable income

   Answer: (a) Taxation

2. What is the primary effect of licensing laws on the labor market?

   (a) They increase the number of workers in an occupation.

   (b) They raise the average quality of the workforce.

   (c) They decrease wages across the board.

   (d) They shift the supply curve to the right.

   Answer: (b) They raise the average quality of the workforce.

3. A quota on imports is likely to result in which of the following market conditions?

   (a) Increased consumer choice

   (b) Lower prices for domestic goods

   (c) Higher prices and reduced quantities of the imported goods

   (d) Equal supply and demand for all goods.

   Answer: (c) Higher prices and reduced quantities of the imported goods

4. What happens when a binding price floor is set above the equilibrium wage?

   (a) It leads to increased employment opportunities.

   (b) It results in a surplus of labor.

   (c) It has no effect on the labor market.

   (d) It increases the quantity of labor demanded.

   Answer: (b) It results in a surplus of labor.

5. Which of the following statements accurately describes why supply and demand might not equal each other?

   (a) Market dynamics are always stable and predictable.

   (b) Government interventions can influence supply or demand.

   (c) All consumers have complete information about the market.

   (d) Supply and demand are always perfectly balanced.

   Answer: (b) Government interventions can influence supply or demand.

Part 4: Preference Maps and Indifference Curves (Unit 6)

1. What is a preference map primarily used for in consumer choice theory?

   A. To represent the historical prices of goods

   B. To illustrate a consumer's preferences over combinations of two goods

   C. To determine the best marketing strategy for a product

   D. To analyse production efficiency in the market.

   Answer: B. To illustrate a consumer's preferences over combinations of two goods

2. Which of the following statements best describes consumer preferences?

   A. They are the same for all consumers regardless of personal experiences

   B. They reflect the objective evaluations of goods and services

   C. They vary from person to person based on individual tastes and experiences

   D. They are always stable and consistent over time

   Answer: C. They vary from person to person based on individual tastes and experiences

3. In the context of preference maps, what does the term 'indifference curve' refer to?

   A. A line that shows consumers' income levels

   B. A curve representing combinations of goods providing the same level of satisfaction

   C. A graphical representation of market prices

   D. A straight line showing the budget constraint.

   Answer: B. A curve representing combinations of goods providing the same level of satisfaction

4. What occurs at the consumer equilibrium point on a preference map?

   A. The budget line intersects with the x-axis.

   B. The consumer maximizes satisfaction within their income limits

   C. The consumer has no constraints on spending

   D. The indifference curves are parallel.

   Answer: B. The consumer maximizes satisfaction within their income limits

5. How do changes in the price of goods affect the budget line in preference maps?

   A. The budget line becomes horizontal

   B. The budget line rotates, leading to changes in consumption

   C. The budget line remains unchanged

   D. The budget line shifts upward without rotation.

   Answer: B. The budget line rotates, leading to changes in consumption

Part 5: Marginal Rate of Substitution (Unit 7)

1. What does the Marginal Rate of Substitution (MRS) indicate in consumer theory?

   A. The total satisfaction gained from consuming a good

   B. The rate at which a consumer is willing to substitute one good for another while keeping total utility constant

   C. The maximum amount of one good that can be consumed with limited income

   D. The overall change in demand for a good over time.

   Answer: B. The rate at which a consumer is willing to substitute one good for another while keeping total utility constant

2. According to the ordinal approach to utility, how can consumers express their preferences?

   A. By measuring utility in numerical terms

   B. By ranking preferences among different bundles of goods

   C. By stating total utility from consumption

   D. By calculating the exact level of satisfaction from goods consumed.

   Answer: B. By ranking preferences among different bundles of goods

3. Which of the following is a property of indifference curves?

   A. They are upward sloping

   B. They can intersect with each other

   C. Each point on the curve represents the same level of satisfaction

   D. They represent only one good at a time.

   Answer: C. Each point on the curve represents the same level of satisfaction

4. What is the significance of the Marginal Rate of Substitution (MRS) in demand theory?

   A. It explains how the total utility changes with each additional unit consumed

   B. It shows the relationship between price changes and consumer income

   C. It forms the basis for understanding consumer equilibrium when MRS equals the ratio of prices

   D. It defines the maximum utility achievable from a set budget.

   Answer: C. It forms the basis for understanding consumer equilibrium when MRS equals the ratio of prices

5. How is the Marginal Rate of Substitution mathematically expressed?

   A. $MRS_{xy} = \Delta Y / \Delta X$

   B. $MRS_{xy} = MU_x + MU_y$

   C. $MRS_{xy} = MU_x / MU_y$

   D. $MRS_{xy} = \Delta TU / \Delta Q$

Answer: C. $MRS_{xy} = MU_x / MU_y$

Part 6: Budget Constraint Analysis (Unit 8)

1. What does a budget constraint represent?

   A. The maximum amount of goods a consumer can purchase with a fixed income.

   B. The total income a consumer earns each month.

   C. The difference between income and expenses.

   D. The prices of goods available in the market.

   Answer: A. The maximum amount of goods a consumer can purchase with a fixed income.

2. How does a change in price affect the budget constraint?

   A. It causes a parallel shift of the budget line.

   B. It rotates the budget line and alters the slope.

   C. It increases the total purchasing power.

   D. It has no effect on the budget line.

   Answer: B. It rotates the budget line and alters the slope.

3. What happens to the budget line when a consumer's income increases?

   A. The budget line rotates to show a change in prices.

   B. The budget line shifts inward, reducing purchasing power.

   C. The budget line shifts outward, expanding the opportunity set.

   D. The budget line remains unchanged.

   Answer: C. The budget line shifts outward, expanding the opportunity set.

4. Why is the slope of the budget constraint important?

   A. It indicates the total income available to the consumer.

   B. It shows the opportunity cost of one good in terms of another.

   C. It determines the prices of goods in the market.

   D. It reflects consumer preferences.

   Answer: B. It shows the opportunity cost of one good in terms of another.

5. Which of the following is NOT a limitation of budget constraint analysis?

   A. Assumes rational behavior among consumers.

   B. Only considers two goods at a time.

   C. Ignores the effect of market fluctuations.

   D. Assumes fixed income for consumers.

Answer: C. Ignores the effect of market fluctuations.

Part 7: Consumer Behaviour and Optimal Bundles (Unit 9)

1. What is the primary question that consumer theory seeks to answer regarding consumer behaviour?

A. How do consumers maximize utility given unlimited resources?

B. How does a consumer choose the best affordable bundle of goods?

C. What factors influence consumer income levels?

D. Why do consumers typically avoid diversified bundles?

Answer: B. How does a consumer choose the best affordable bundle of goods?

2. Which of the following statements best describes the principle of optimal bundles in consumer choice?

A. Optimal bundles are always found at the intersection of indifference curves.

B. Optimal bundles lie on the convex sections of indifference curves.

C. Optimal bundles can only occur when indifference curves are linear.

D. Optimal bundles involve purchasing only one good at a time.

Answer: B. Optimal bundles lie on the convex sections of indifference curves.

3. Why is the convexity of indifference curves significant in consumer choice theory?

A. It indicates that consumers prefer extreme consumption of goods.

B. It reflects a diminishing marginal rate of substitution (MRS).

C. It shows that all goods are equally substitutable for one another.

D. It suggests that consumers will always buy in equal amounts.

Answer: B. It reflects a diminishing marginal rate of substitution (MRS).

4. What does the statement 'buying where more is better' imply about consumer preferences?

A. Consumers prefer to buy only one type of good.

B. Consumers will choose combinations of goods that maximize their satisfaction.

C. Consumers are indifferent to the quantities of goods they purchase.

D. Consumers become satiated with more of a good over time.

Answer: B. Consumers will choose combinations of goods that maximize their satisfaction.

5. If a consumer's budget line shifts outward due to an increase in income, what is the expected outcome?

A. The consumer will purchase less of all goods.

B. The consumer will reach a lower level of utility.

C. The consumer will have access to higher indifference curves.

D. The consumer's preferences will become strictly concave.

Answer: C. The consumer will have access to higher indifference curves.

Part 8: Multiple Choice Questions (Demand)

1. What kind of relationship exists between demand for a good and price of its substitute goods?

(a) Direct

(b) Inverse

(c) No effect

(d) Can be direct or inverse

Answer: (a)

2. What kind of relationship exists between price of a good and demand of its complementary good?

(a) Direct

(b) Inverse

(c) No effect

(d) Can be direct or inverse

Answer: (b)

3. What kind of relationship exists between income and demand of inferior good?

(a) Direct

(b) Inverse

(c) No effect

(d) Can be direct or inverse

Answer: (b)

4. What kind of relationship exists between income and demand of a normal good?

(a) Direct

(b) Inverse

(c) No effect

(d) Can be direct or inverse

Answer: (a)

5. How is law of demand expressed functionally?

(a) DX = f (PX), ceteris paribus

(b) DX = f (PZ), ceteris paribus

(c) DX = f (Y), ceteris paribus

(d) DX = f (T), ceteris paribus

Answer: (a)

6. When demand curve is downward sloping, its slope is:

(a) Negative

(b) Positive

(c) Constant

(d) Zero

Answer: (a)

7. Income effect states that as price of a good falls, demand rises because there is rise in:

(a) Money income

(b) Real income

(c) Relative price of other goods

(d) Marginal utility

Answer: (b)

8. Substitution effect states that as price of a good falls, demand rises because there is rise in:

(a) Money income

(b) Real income

(c) Relative price of other goods

(d) Marginal utility

Answer: (c)

9. Giffen good is:

(a) An inferior good

(b) One with high negative income elasticity of demand

(c) Consumed by low-paid workers

(d) All of the above

Answer: (d)

10. Veblen good is:

(a) Good of status

(b) Consumed by very high-income group

(c) Like diamonds

(d) All of the above

Answer: (d)

11. Factor which affects market demand but not individual demand can be:

(a) Number of consumers in the market

(b) Age and sex composition of population

(c) Distribution of income

(d) All of the above

Answer: (d)

12. Law of demand does not hold in case of:

(a) Emergency

(b) Expectation of price rise

(c) Conspicuous goods

(d) All of the above

Answer: (d)

13. Contraction of demand is shown by:

(a) Upward movement on the demand curve

(b) Downward movement on the demand curve

(c) Rightward shift of the demand curve

(d) Leftward shift of the demand curve

Answer: (a)

14. Increase in demand is shown by:

(a) Upward movement on the demand curve

(b) Downward movement on the demand curve

(c) Rightward shift of the demand curve

(d) Leftward shift of the demand curve

Answer: (c)

15. Expansion of demand is shown by:

(a) Upward movement on the demand curve

(b) Downward movement on the demand curve

(c) Rightward shift of the demand curve

(d) Leftward shift of the demand curve

Answer: (b)

16. When same units are demanded at a higher price, it shows:

(a) Increase in demand

(b) Expansion in demand

(c) Decrease in demand

(d) Contraction in demand

Answer: (a)

17. When there is fall in the price of complementary good and rise in the price of substitute good, it shows:

(a) Increase in demand

(b) Expansion in demand

(c) Decrease in demand

(d) Contraction in demand

Answer: (a)

18. When income of the consumer falls the impact on price-demand curve of an inferior good is:

(a) Shifts to the right

(b) Shifts to the left

(c) There is upward movement along the curve

(d) There is downward move

Answer: (a)

19. If with the rise in price of good Y, demand for good X rises, the two goods are:

(a) Substitutes

(b) Complements

(c) Not related

(d) Jointly demanded

Answer: (a)

20. Any statement about demand for a good is considered complete only when the following is mentioned in it:

(a) Price of the good

(b) Quantity of the good

(c) Period of time

(d) All of the above

Answer: (d)

Part 9: Multiple Choice Questions (Supply)

1. What is constant in the law of supply?

   (a) Price of related goods

   (b) State of technology

   (c) Cost of production

   (d) All of the above

   Answer: (d)

2. When supply curve is upward sloping, its slope is _____.

   (a) Positive

   (b) Negative

   (c) First positive then, negative

   (d) Zero

   Answer: (a)

3. Market supply curve is _____ summation of individual supply curves.

   (a) Horizontal

   (b) Vertical

   (c) Can be both horizontal or vertical

   (d) None of the above

   Answer: (a)

4. Movement along the supply curve is also called:

   (a) Change in supply

   (b) Change in quantity supplied

   (c) Contraction in supply

   (d) Increase in supply

   Answer: (b)

5. An upward movement along a supply curve shows:

   (a) Contraction in supply

   (b) Decrease in supply

   (c) Expansion in supply

   (d) Increase in supply

   Answer: (c)

6. A rightward shift in supply curve shows:

(a) Contraction in supply

(b) Decrease in supply

(c) Expansion in supply

(d) Increase in supply

Answer: (d)

7. When less quantity is supplied at a lower price, it shows:

(a) Contraction in supply

(b) Decrease in supply

(c) Expansion in supply

(d) Increase in supply

Answer: (a)

8. When same quantity is supplied at a higher price, it shows:

(a) Contraction in supply

(b) Decrease in supply

(c) Expansion in supply

(d) Increase in supply

Answer: (b)